



DELHI PUBLIC SCHOOL NEWTOWN
SESSION 2024-25
PRE BOARD EXAMINATION

CLASS: X

FULL MARKS: 80

SUBJECT: COMMERCIAL STUDIES (SET-A)

TIME: 2 HOURS

Attempt all questions from Section A and any four from Section B.
The intended marks for questions or parts of questions are given in brackets []
This paper consists of four printed pages.

SECTION A

(Attempt all questions from this Section.)

Question 1

[16]

Choose the correct answers to the questions from the given options.

(Do not copy the question, write the correct answers only.)

(i) Assertion (A): Employees are considered internal stakeholders of a business.

Reason (R): Employees are not directly involved in the decision-making process of the organization.

- a) A is true, and R is the correct explanation of A.
- b) A is true, but R is not the correct explanation of A.
- c) A is true, but R is false.
- d) A is false, but R is true.

(ii) Which marketing strategy is popularly known as free form of promotion?

- a) Advertisement
- b) Publicity
- c) Personal selling
- d) Sales promotion

(iii) Debentures are a Primary form of:

- a) Permanent capital
- b) Short-term investment
- c) Loan taken by the company
- d) Equity capital

(iv) Replacing old machinery by new one is -

- a) Revenue expenditure
- b) Deferred revenue expenditure
- c) Capital expenditure
- d) Capital receipts

(v) Tom is a diabetic patient who met with an accident and was hospitalised. A delicate nerve of his right leg was cut due to a doctor's negligence that made him crippled throughout his life. Identify the consumer right that has been violated by the doctors under the Consumer Protection Act, 2019 in the above situation.

- a) Right to safety
- b) Right to be informed
- c) Right to be heard
- d) Right to be assured

(vi) Which Module takes care of all the process that are part of procurement of items or raw materials?

- a) Inventory module
- b) Supply chain management module
- c) Purchase module
- d) Finance and accounting module

(vii) An example of sales promotion is -

- a) Giving a discount on products for a limited time
- b) Sponsoring a TV program
- c) Putting up billboards to advertise a new product
- d) Signing a deal with a supplier

(viii) Rina purchased a few home goods from a nearby general store. She found that one of the products, a shampoo valued at ₹200, had not been billed when she came home and checked her belongings. She made the decision to utilize it after looking at the expiration date. Because the shampoo contained hazardous substances, Rina had significant scalp irritation and hair loss after using it. Can Rina file a case in this regard?

- a) Yes, she can file a case against the general store
- b) No, she can't file a case against the general store
- c) Yes, she can file a case against fssai
- d) No, but she can file a case against SEBI

(ix) If opening stock ₹50,000, purchase ₹3,00,000, closing stock ₹20,000, gross profit ₹60,000 then sales will be _____

- a) ₹3,10,000
- b) ₹2,90,000
- c) ₹3,90,000
- d) ₹2,70,000

(x) Which of the following costs changes with the level of production?

- a) Fixed cost
- b) Semi-variable cost
- c) Indirect cost
- d) Variable cost

(xi) Assertion (A): The Consumer Protection Act, 2019 ensures that misleading advertisements are punishable offenses.

Reason (R): False advertising can lead to consumer confusion and financial loss, so it is restricted under the Act.

- a) A is true, and R is the correct explanation of A.
- b) A is true, but R is not the correct explanation of A.
- c) A is true, but R is false.
- d) A is false, but R is true.

(xii) A Capital Market facilitates:

- a) Short-term borrowing
- b) Capital formation for long-term financing
- c) Day-to-day expenses
- d) Fixed capital generation

(xiii) Identify the picture -

- a) Provide faster internet
- b) E-security
- c) Marketing
- d) Global reach



(xiv) Which item is deducted from purchase in trading account?

- | | |
|----------------------|--------------------|
| a) Carriage inwards | b) Return inwards |
| c) Carriage outwards | d) Return outwards |

(xv) Rajesh chooses to insure his factory, valued at ₹12,000,000, against fire and other hazards. He obtains insurance coverage from three distinct insurance providers:

Company X for ₹3,00,000, Y's insurance for ₹4,00,000, and insurance for ₹5,00,000 from Company Z. Regretfully, the factory catches fire, resulting in a ₹6,00,000 loss. The compensation pay-out will be divided among the three insurance firms according to their respective coverage proportions, which are 3:4:5. Which principle of insurance is being used to distribute the compensation amount?

- | | |
|------------------------------|------------------------------------|
| a) Principle of contribution | b) Principle of Mitigation of loss |
| c) Principle of Subrogation | d) Insurable interest |

(xvi) Identify the principle of insurance based on the given information.

- 1. It requires each party to disclose all the information at his command to the other party.**
- 2. One party cannot induce the other party, by highly material facts, to enter into a contract of insurance which is disadvantageous to the other party.**

- | | |
|-----------------------|-----------------------|
| a) Indemnity | b) Utmost good faith |
| c) Insurable interest | d) Mitigation of loss |

Question 2

Distinguish between:

- | | |
|--|------------|
| (i) Debit card and credit card. | [2] |
| (ii) Advertising and Sales Promotion. | [2] |
| (iii) Product and Service. | [2] |
| (iv) Equity Shares and Debenture. | [2] |

Question 3

- | | |
|--|------------|
| (i) What are the expectations of employees from an organization? | [2] |
| (ii) XYZ Corporation invested ₹300,000 in a long-term advertising campaign. How should XYZ treat this expense in its financial statements, and why? | [2] |
| (iii) What do you mean by Trade unions? | [2] |
| (iv) What is IMPS? | [2] |

Question 4

- | | |
|--|------------|
| (i) What is a premium or bonus offer in sales promotion? | [2] |
| (ii) B & Co has decided to sell its products online. Identify and define this business model. | [2] |
| (iii) "It is the process of hiring applicants from outside the organization to fill positions within the organization." Identify and explain the source of recruitment. | [2] |
| (iv) What is meant by bonded warehouse ? | [2] |

SECTION B

(Attempt any four questions from this Section.)

Question 5

- (i) “Marketing improves the living standards of people.” In light of this statement, discuss any five objectives of marketing. [5]**
- (ii) Write short notes on: [5]**
 - a) Central Bank**
 - b) Right to be informed**

Question 6

- (i) Discuss about the primary functions of an advertising agency. [5]**
- (ii) Write short notes on: [5]**
 - a) Credit card fraud**
 - b) ATM**

Question 7

- (i) Critically evaluate the key provisions of the Consumer Protection Act, 2019, by outlining five significant features and explaining their implications for consumer welfare and business practices. [5]**
- (ii) Compare and contrast e-business with traditional business, highlighting the advantages of e-business and how they overcome the limitations of traditional business. [5]**

Question 8

- (i) A thorough yearly budget was put in place by GreenTech Solutions in order to reduce expenses and boost revenue. Unexpected shifts in the market halfway through the year led to operational overspending. A flexible budget was used to make adjustments, which enabled GreenTech to realign money and achieve goals in spite of obstacles. Discuss how budgets can improve management's ability to govern and make decisions. [5]**
- (ii) Write short notes on: [5]**
 - a) Cash credit**
 - b) Pension**

Question 9

- (i) Which five aspects of the Environmental Protection Act 1986 are important for efficient environmental management and preservation? [5]**
- (ii) Write short notes on: [5]**
 - a) Life insurance**
 - b) Inventory module**

Question 10

From the following Trial Balance, prepare a Trading Account, Profit and Loss Account and Balance Sheet of Mr. A for the year ending on 31st March, 2023. [10]

Debit Balance	Dr. (₹)	Credit Balance	Cr. (₹)
Sundry debtors	60,000	Sundry creditors	23,500
Purchases	1,80,000	Return outwards	3,000
Return inwards	2,000	Sales	3,55,000
Carriage inwards	1,800	Capital	2,43,000
Carriage outwards	1,200	Bank loan	4,000
Furniture	5,000	Discount received	1,500
Plant and Machinery	40,000		
Factory power	5,000		
Fuel, gas and water	4,500		
Bad debts	500		
Commission	5,000		
Salary	16,000		
Cash in hand	2,000		
Cash at bank	13,000		
Motor vehicle	18,000		
Motor repairs	2,000		
General expenses	9,400		
Interest on bank loan	600		
Rent and insurance	4,000		
Land and Building	1,80,000		
Opening stock	80,000		
Total	6,30,000	Total	6,30,000

Stock at the end ₹90,000.